

COVERAGE AGENT

Reference Guide & Decision Framework

Insurance Claim Verification System

Policy Coverage & Eligibility Assessment

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Purpose: This guide enables the Coverage Agent to verify policy status, determine claim eligibility, and apply coverage rules consistently.

Scope: Health insurance policy verification, claim coverage assessment, benefit eligibility validation.

1. COVERAGE VERIFICATION CHECKLIST

#	Verification Step	Key Questions	Output
1	Policy Status	Active? Premium paid? Grace period? / Expired / Lapsed	Active / Expired / Lapsed
2	Product Identification	Which product does the customer have?	Product Name & Code
3	Policy Contract	Is the procedure listed in policy wording?	Covered / Not Covered / Conditional
4	Coverage Verification	Does policy cover this procedure?	Covered / Denied with Reason
5	Waiting Period	Has waiting period elapsed?	Completed / Pending (days remaining)
6	Pre-existing Diseases	Is condition covered? Policy age?	Covered / Not Covered / Waiting
7	Network Hospital	Is hospital in network?	Network / Non-network
8	Sum Insured Balance	Remaining coverage available?	■ Amount Available
9	Sub-limits	Procedure under sub-limit?	■ Policy Limit vs. Claim
10	Co-payment	Customer co-pay percentage?	% or Fixed Amount
11	Deductible	Deductible applicable?	■ Amount
12	Exclusions	Any permanent/temporary exclusions?	Excluded / Allowed

2. COVERAGE DECISION FLOWCHART

Step 1: Policy Validation

Is policy active?	→	Check Policy Schedule
Is premium paid?	→	Check Premium Status
Is grace period valid?	→	Calculate days since lapse
	↓	
Decision:	PROCEED / REJECT	

Step 2: Procedure Coverage Check

Retrieve Policy Wording	→	Procedure Code / Name
Match procedure in benefits?	→	Search Benefit Schedule
Is it listed?	→	YES / NO
	↓	
If YES:	Check waiting period, limits, exclusions	
If NO:	Coverage Denied	

Step 3: Eligibility Validation

Waiting Period Met?	→	Compare policy age with waiting period
Pre-existing covered?	→	Check PED waiver status
Network hospital?	→	Query hospital network database
	↓	
Decision:	ELIGIBLE / INELIGIBLE	

Step 4: Financial Calculation

Calculate remaining sum insured	→	Total SI - Previous claims
Apply sub-limits	→	Check procedure-specific limits
Apply deductible	→	Reduce payable amount
Apply co-payment	→	Calculate % or fixed amount
	↓	
Final Payable Amount:	Amount = Min(Sum Insured, Claim) - Deductible - Co-pay	

3. DOCUMENTS REFERENCE MATRIX

Document Type	Purpose	Used In Step	Key Information
Policy Schedule	Customer-specific policy details	1, 2	Policy #, Sum Insured, Period, Endorsements
Policy Wording	Defines covered benefits & exclusions	3, 4, 12	Coverage list, Waiting periods, Deductibles
Benefit Schedule	Lists coverage limits by treatment	4, 9	Sub-limits, Maximum payable per procedure
Endorsements	Modifications to standard policy	3, 5	Special coverage, Exclusions added
Customer Record	Premium & renewal history	1	Payment status, Renewal dates, Member info
Hospital Network DB	Cashless eligibility	7	Network status, Empanelment details
Procedure Mapping	Medical procedure ↔ Policy coverage	3, 4	Procedure codes, Covered benefits
Product Rules	Product-specific business logic	2, 5	Product features, Eligibility rules
Regulatory Guidance	IRDAI compliance requirements	All	Standardized exclusions, Consumer rights

RAG Strategy: For each verification step, retrieve relevant sections from policy wording and customer record before applying business logic. Never rely on LLM memory alone.

4. EXAMPLE SCENARIOS & DECISIONS

Scenario 1: ACL Reconstruction (Covered Procedure)

Verification	Result	Decision
Policy Status	Active, premium paid	✓ PASS
Procedure Covered?	Yes, Orthopedic Surgery covered	✓ PASS
Waiting Period	24 months required, 18 months elapsed	✗ FAIL
Network Hospital	Apollo Hospital - Network	✓ PASS
Sum Insured Available	■2,80,000 remaining	✓ PASS
Claim Amount	■3,50,000	Exceeds available balance
FINAL DECISION	PARTIAL COVERAGE	Maximum Payable: ■2,80,000
REASON	Waiting period not completed	

Scenario 2: Hair Transplant (Excluded Procedure)

Verification	Result	Decision
Policy Status	Active	✓ PASS
Procedure Covered?	Cosmetic procedures - EXCLUDED	✗ FAIL
FINAL DECISION	COVERAGE DENIED	Permanent Exclusion
REASON	Cosmetic procedures not covered under policy	

Scenario 3: Cataract Surgery with Sub-limit

Verification	Result	Decision
Policy Status	Active	✓ PASS
Procedure Covered?	Cataract - Covered	✓ PASS
Waiting Period	Policy age 3 years, 6-month period met	✓ PASS
Sub-limit	■40,000 limit (procedure-specific)	✓ PASS
Claim Amount	■45,000	Exceeds sub-limit
Co-payment	10%	Applied to final amount
FINAL DECISION	COVERAGE APPROVED	Limited Payable
PAYABLE AMOUNT	(40,000 - 10% co-pay) = ■36,000	

5. STRUCTURED OUTPUT FORMAT

The Coverage Agent must return decisions in this standardized JSON structure:

```
{ "claim_id": "CLM-XXXXXX", "policy_status": "Active | Expired | Lapsed", "coverage": "Covered | Denied | Partial", "procedure": "Medical procedure name", "waiting_period": "Completed | Pending (X days)", "hospital": "Network | Non-network", "sum_insured": 500000, "remaining_balance": 280000, "estimated_claim": 350000, "policy_limit": 280000, "sub_limit": 200000, "deductible": 50000, "co_pay_percentage": 10, "estimated_payable": 230000, "denial_reason": "Null or specific reason", "coverage_confidence": 0.98, "documents_retrieved": ["Policy Wording", "Benefit Schedule"], "next_agent": "triage_agent | settlement_agent", "timestamp": "2025-01-15T10:30:00Z" }
```

Decision Confidence: Score (0.0-1.0) indicates certainty. >0.95 = High confidence, <0.85 = Requires manual review.

6. KEY DECISION RULES

Rule	Condition	Action
Policy Lapsed	Premium not paid >30 days	Deny all claims until premium paid
Waiting Period	Policy age < waiting period	Deny claim
Pre-existing	PED claim & PED waiver not completed	Deny claim
Exclusion	Procedure in exclusion list	Deny with permanent exclusion reason
Sum Insured Exhausted	Remaining balance = 0	Deny claim
Non-network	Hospital not in network	Reimbursement only (no cashless)
Sub-limit Exceeded	Claim > procedure sub-limit	Payable = Sub-limit
Co-payment	Policy has co-pay	Deduct % from final payable
Deductible	Policy has deductible	Deduct from eligible amount

7. REGULATORY COMPLIANCE CHECKLIST

IRDAI Compliance Requirements:

- ✓ **Transparency:** All coverage decisions must be explainable and cite specific policy sections.
- ✓ **Timelines:** Coverage decisions should be communicated within regulatory timeframes (typically 30 days).
- ✓ **Fairness:** Exclusions must be clearly stated in policy; cannot apply undisclosed limits.
- ✓ **Consistency:** Same procedure/condition must be treated same way for all customers.
- ✓ **Documentation:** All decisions must be documented with supporting evidence (policy sections cited).
- ✓ **Dispute Resolution:** Coverage denials must provide clear reason and appeals process information.

Prohibited Actions:

- ✗ Making coverage decisions based on age, gender, or family history without specific policy provision.
- ✗ Denying claims without citing specific policy exclusion or clause.
- ✗ Applying undisclosed limits or conditions.
- ✗ Inconsistently applying waiting periods or exclusions.
- ✗ Rejecting claims based on general 'medical necessity' without policy reference.

Documentation Requirements:

- Claim ID and Policy Number
- Specific policy sections cited for decision
- All documents retrieved and reviewed
- Calculation methodology for financial limits
- Timestamp of decision and reviewing agent
- Appeals contact information

8. TROUBLESHOOTING & EDGE CASES

Policy Renewed:

If renewal date is within claim date, use new policy wording if effective. Cite both if benefits changed.

Endorsements:

Always check for endorsements that modify standard policy. Apply latest endorsement date.

Multiple Claims:

Track each claim against same sum insured. Deduct previous payouts from remaining balance.

Seasonal Waiting Periods:

Some policies have different waiting periods by season. Verify calendar against policy dates.

Hospital Name Variations:

Hospital names in claims may differ from network database. Use hospital code/ID for matching.

Procedure Code Mapping:

Medical procedure names vary (ACL Reconstruction vs. ACL Surgery). Use standardized codes.

Missing Information:

If critical info missing (hospital name, procedure code), flag for manual review. Do not assume.

9. RAG KNOWLEDGE BASE SOURCES

- Customer Policy Record (Premium status, member details, renewals)
- Policy Schedule (Policy period, sum insured, endorsements, deductibles)
- Policy Wording Document (Covered benefits, exclusions, waiting periods, limits)
- Benefit Schedule (Procedure-specific limits, sub-limits, room rent caps)
- Endorsement Files (Policy modifications post-purchase)
- Hospital Network Database (Network hospital list, empanelment dates)
- Procedure Benefit Mapping (ICD-10 codes → Covered benefits)
- Product Configuration (Product rules, eligibility matrices)
- IRDAI Guidelines (Regulatory requirements, standardized exclusions)